

MARKET EXPANSION STRATEGY

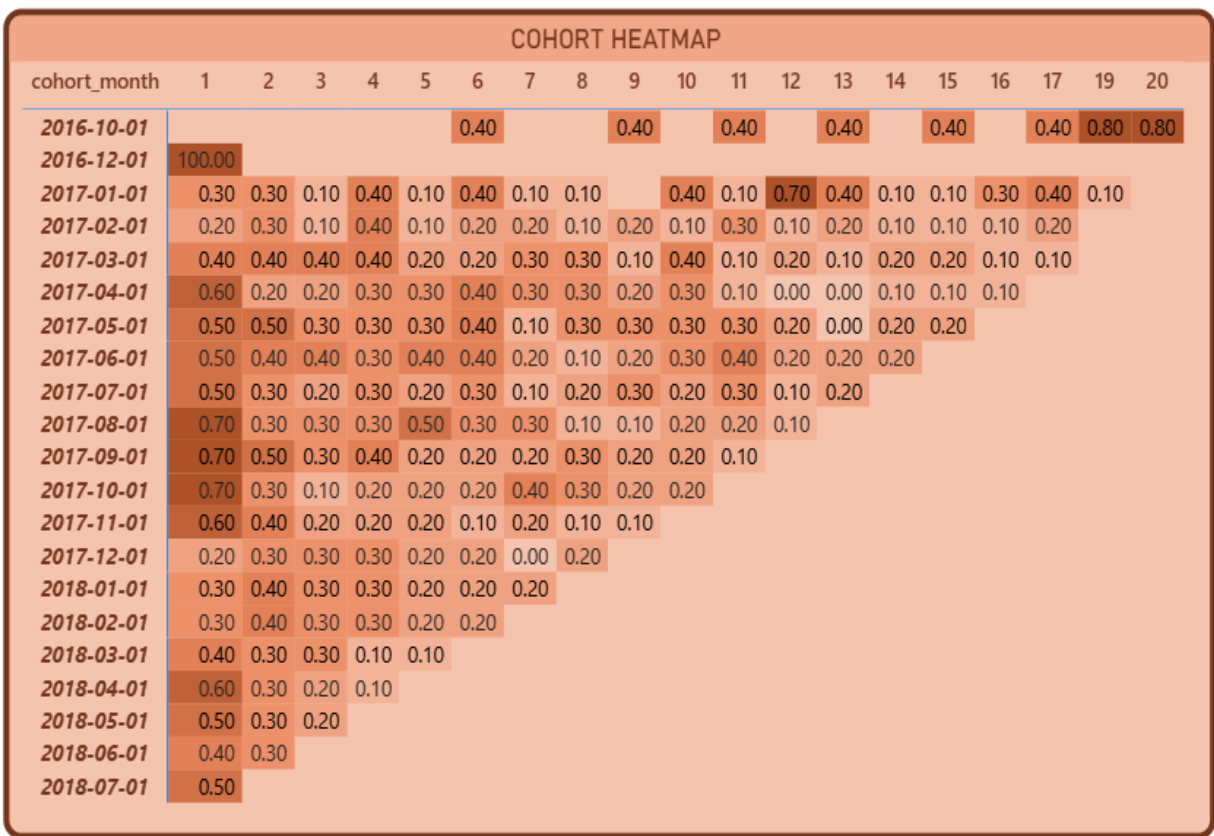
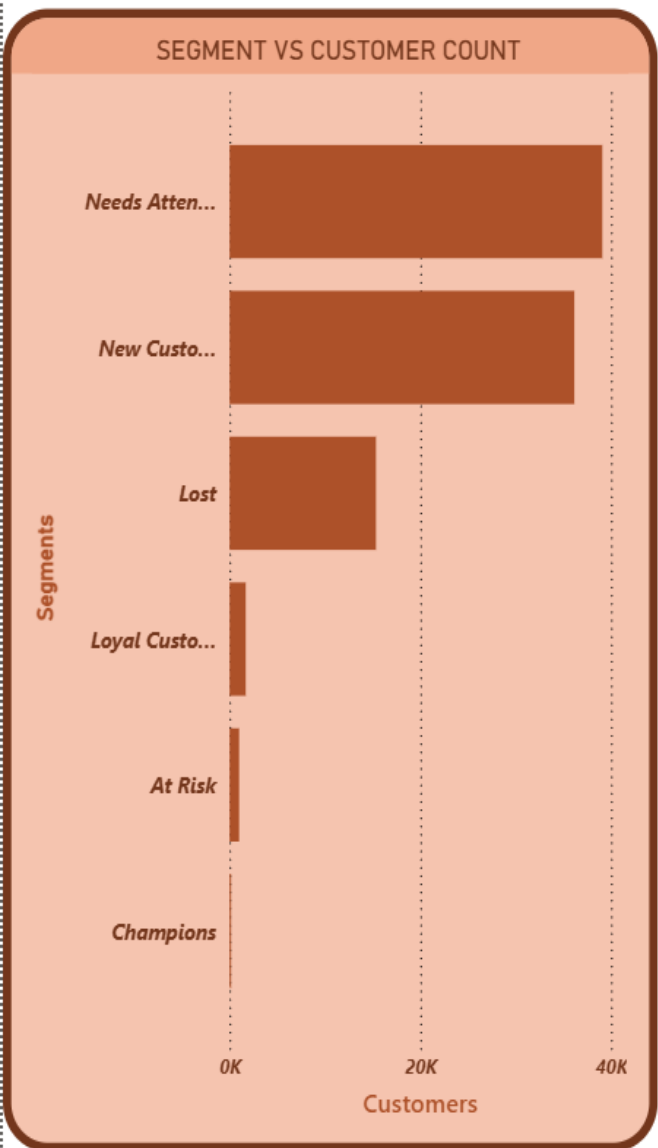
OLIST BRAZILLIAN ECOMMERCE

Identifying High-Potential
Markets for Business
Expansion Using SQL, Market
Analytics & Power BI

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Customer Segmentation & Market Readiness

Customer quality is one of the strongest indicators of market maturity. This dashboard evaluates customer segments, retention trends, and regional market size to determine which markets have the strongest foundation for expansion.



TOP REGIONS

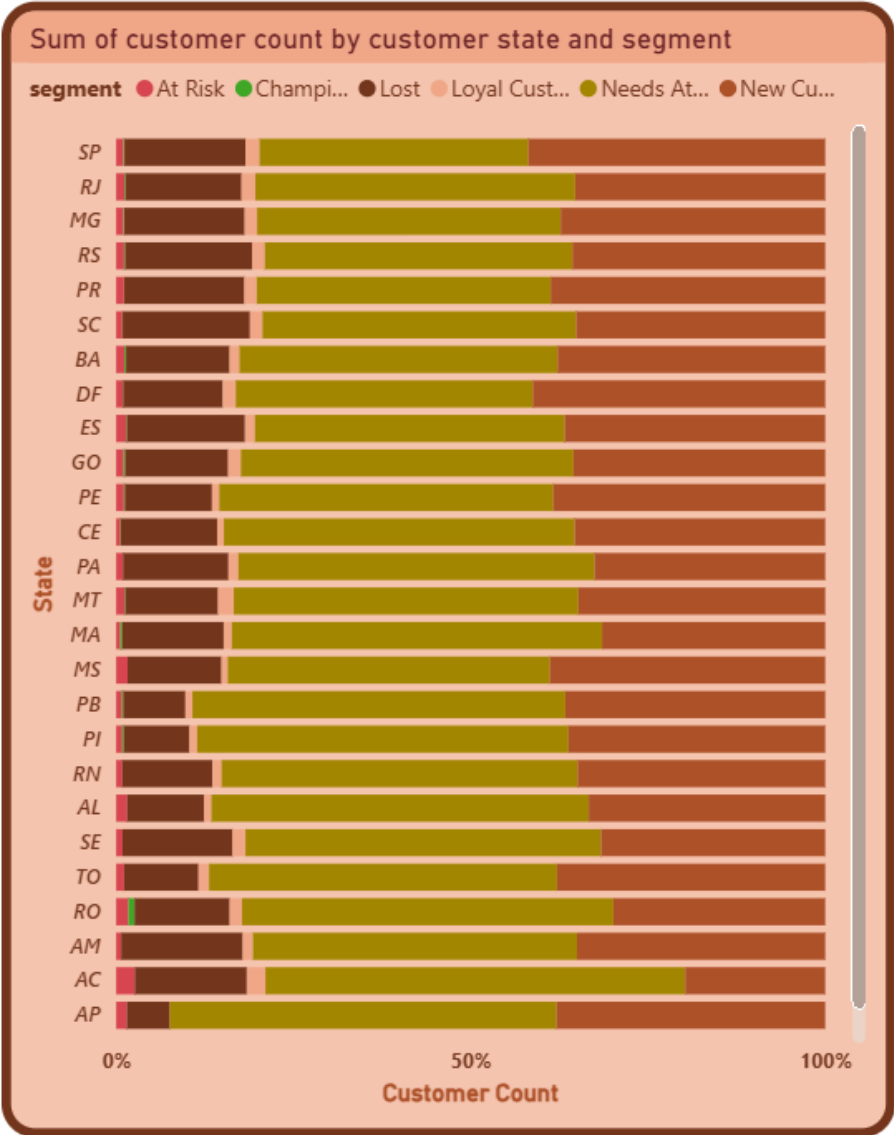
state_name	Sum of tam_usd	competitive_intensity	Sum of som_usd
Goiás	8400000000	Moderate	60400000
Minas Gerais	24400000000	High	58600000
Rio Grande do Sul	12800000000	Moderate-High	53900000

Key Insights

- Needs Attention customers represent the largest segment, indicating significant opportunities for customer retention.
- Cohort analysis shows repeat purchasing behavior across multiple months, demonstrating long-term customer engagement.
- Goiás, Minas Gerais, and Rio Grande do Sul possess the highest Serviceable Obtainable Market (SOM) among the shortlisted states.
- Moderate competitive intensity in Goiás suggests attractive expansion opportunities with manageable competitive pressure

Geographic Customer Distribution

Understanding where customers are located and how customer quality differs across regions helps identify underserved markets and prioritize future expansion.

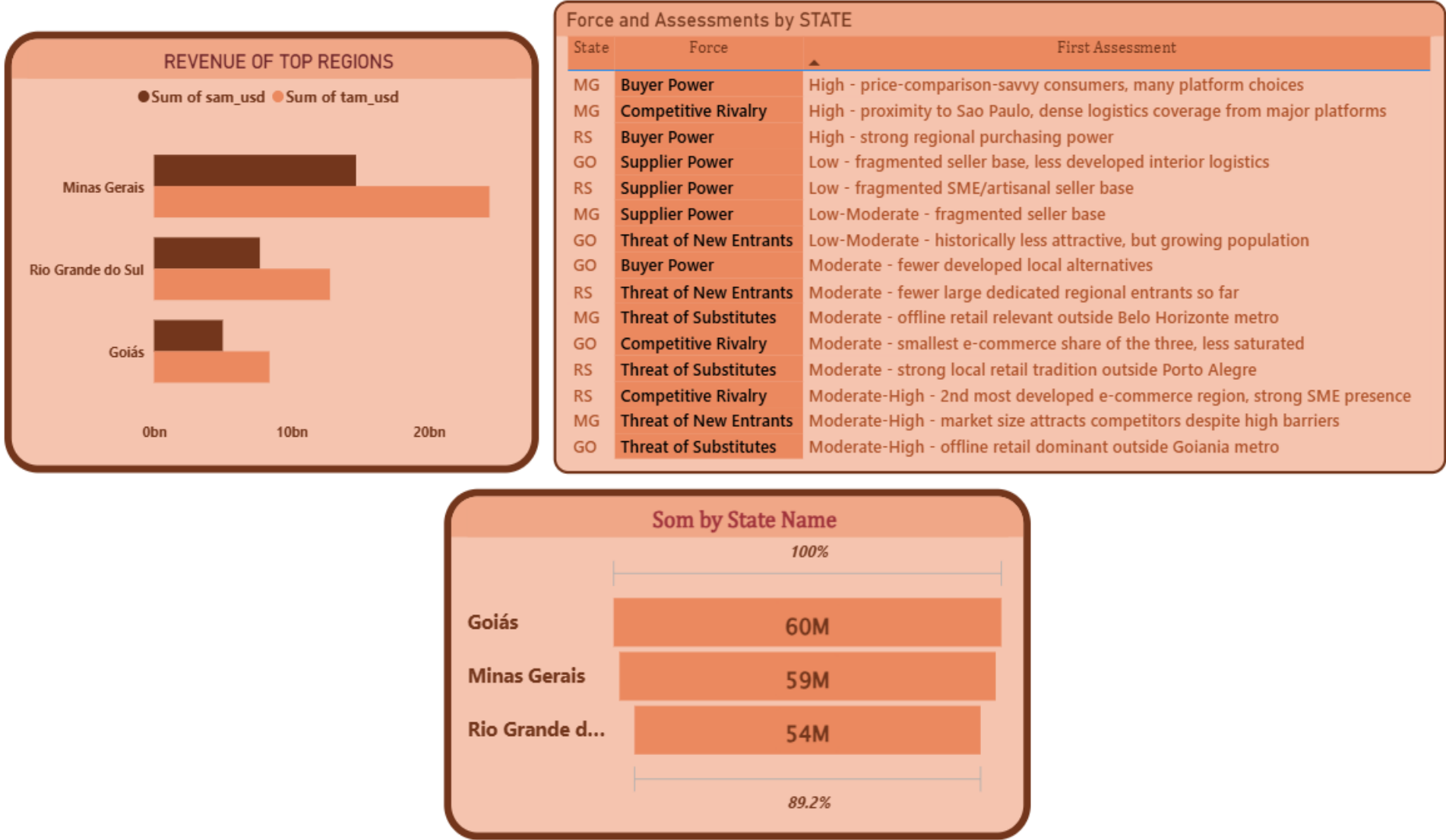


Key Insights

- Customer activity is highly concentrated in southeastern Brazil.
- Several states maintain a larger share of Loyal and Champion customers, indicating stronger long-term revenue potential.
- Regional customer quality varies significantly, suggesting that expansion decisions should consider customer value rather than customer count alone.

Market Opportunity Assessment

Selecting the right expansion market requires evaluating both market potential and competitive conditions. This dashboard combines revenue opportunity with Porter's Five Forces to identify strategically attractive states.



Key Insights

- Minas Gerais generates the largest Total Addressable Market (TAM), indicating substantial long-term demand.
- Goiás achieves the highest Serviceable Obtainable Market (SOM), suggesting stronger immediate expansion potential.
- Competitive rivalry differs across regions, requiring state-specific market entry strategies.
- Buyer power remains moderate to high across shortlisted markets, emphasizing the importance of competitive pricing and customer experience.

Goiás Expansion Scenario

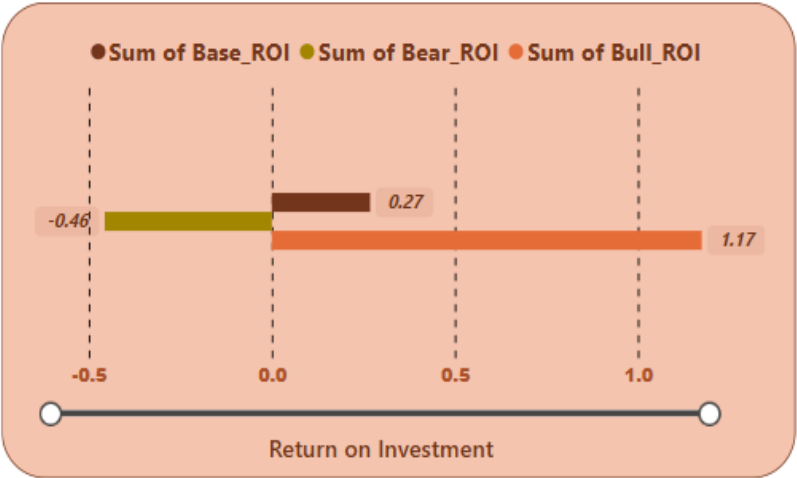
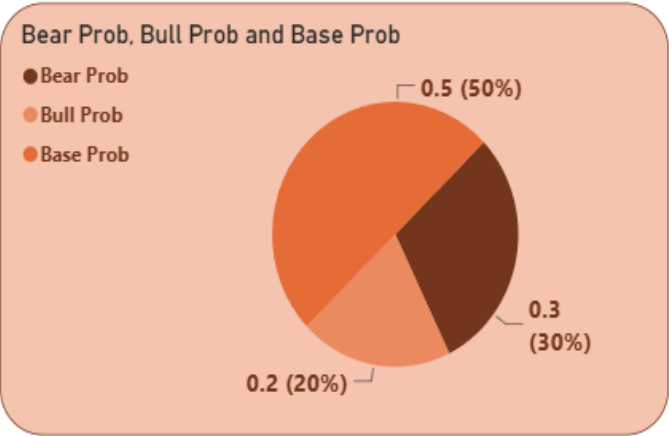
Scenario analysis evaluates the financial viability of expanding into Goiás by comparing expected returns under Bull, Base, and Bear market conditions.

Key Insights

- Expected ROI remains positive under the Base Case scenario.
- Bull Case generates the highest profitability and revenue potential.
- Positive Return Probability indicates favorable investment conditions.
- The projected investment demonstrates attractive long-term financial performance relative to risk.



Scenario	Sum of GMV Captured	Sum of Revenue	Sum of Net Profit	Sum of Probability	Sum of ROI
Bull Case	36240000	5436000	2936000	0.20	1.17
Base Case	21140000	3171000	671000	0.50	0.27
Bear Case	9060000	1359000	-1141000	0.30	-0.46



Minas Gerais Expansion Scenario

Minas Gerais represents the largest addressable market among shortlisted states. Financial scenario analysis evaluates whether its larger market size justifies the required investment.

Key Insights

- Minas Gerais offers strong revenue potential but requires greater competitive differentiation.
- Base Case ROI remains positive despite increased competition.
- Bull Case significantly improves expected profitability.
- Long-term market growth supports future expansion after successful implementation in Goiás.

Expected ROI

0.20

Investment

3M

SOM

59M

Positive Return Probability

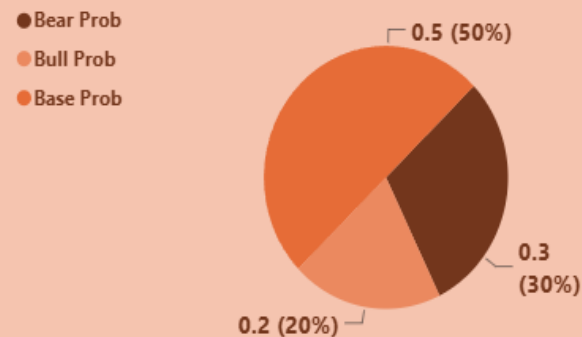
0.70

Take Rate

0.15

Scenario	Sum of GMV Captured	Sum of Revenue	Sum of Net Profit	Sum of Probability	Sum of ROI
Base Case	20510000	3076500	576500	0.50	23.06
Bear Case	8790000	1318500	-1181500	0.30	-47.26
Bull Case	35160000	5274000	2774000	0.20	110.96

Bear Prob, Bull Prob and Base Prob



Sum of Base_ROI Sum of Bear_ROI Sum of Bull_ROI



Rio Grande do Sul Expansion Scenario

Rio Grande do Sul provides diversification opportunities and stable regional demand. Financial analysis evaluates whether expansion aligns with the company's long-term growth strategy.

Key Insights

- Expected ROI is positive but lower than Goiás and Minas Gerais.
- Competitive intensity remains moderate to high.
- Revenue potential supports gradual market entry rather than immediate large-scale expansion.
- Financial performance improves substantially under optimistic market conditions.

Expected ROI

0.10

Investment

3M

SOM

54M

Positive Return Probability

0.70

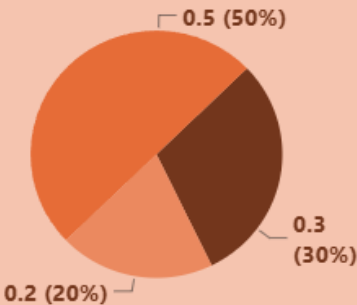
Take Rate

1

Scenario	Sum of GMV Captured	Sum of Revenue	Sum of Net Profit	Sum of Probability	Sum of ROI
Base Case	18865000	2829750	329750	0.50	13.19
Bear Case	8085000	1212750	-1287250	0.30	-51.49
Bull Case	32340000	4851000	2351000	0.20	94.04

Bear Prob, Bull Prob and Base Prob

● Bear Prob
● Bull Prob
● Base Prob



● Sum of Base_ROI ● Sum of Bear_ROI ● Sum of Bull_ROI

